

Risk-free Annual Returns of 50%

THROUGHOUT HISTORY, GREED has been humanity's constant companion. Avarice is one of the seven deadly sins in Christianity.²⁸⁸ The Buddha taught craving for material wealth is the root cause of unhappiness—Buddhism teaches greed is one of the three poisons leading to suffering. Judaism condemns greed and selfishness, as does Hinduism. Islam warns greed leads to spiritual poverty, and the Quran explicitly describes greed as a disgrace and an evil characteristic.

Too many people lack the patience to get rich slowly. Over the course of my three-decade career on Wall Street, I have seen lots of people thrown out of the securities business. Nearly every instance involved taking a short cut to get rich quickly, rather than building their wealth slowly, patiently—and legally—over time.

Investors, being human, are subject to the same foibles. Greed is a huge source of unforced error to them. Let's take a closer look at how this manifests.

In 2022, an investigative reporter was looking into a Ponzi scheme in Las Vegas. It's a riveting and terrible story, and the *Washington Post*²⁸⁹ shares all the details of lost monies, Mormons, FBI investigations, guns, and murder.

I was preparing a presentation on “Navigating Financial Disasters”²⁹⁰—you know it as the chapter on the Belfers—when I read this sordid Vegas tale:

Authorities had long suspected Beasley of running a massive Ponzi scheme with his business partner, Jeffrey Judd, that mainly targeted Mormons, as members of the Church of Jesus Christ of Latter-day Saints are often called. The investment was pitched as a ***nearly risk-free opportunity to earn annual returns of 50 percent*** by lending money to slip-and-fall victims awaiting checks after the settlement of their lawsuits.